

allocation than older people. It depends on each person's unique situation. Asset allocation is personal. There is an appropriate allocation for your needs at every stage in life. Your mission is to find it.

HOW ASSET ALLOCATION WORKS

Asset classes are broad categories of investments, such as stocks, bonds, real estate, commodities, and money market funds. Each asset class can be further divided into categories. For example, stocks can be categorized into U.S. stocks and foreign stocks. Bonds can be categorized into taxable bonds and tax-free bonds. Real estate investments can be divided into owner-occupied residential real estate, rental residential real estate, and commercial properties.

The subcategories can be further divided into investment styles and sectors. Examples of styles include growth and value stocks, large and small stocks, and investment-grade bonds and non-investment-grade bonds. Sectors can be of different types. Stocks can be divided by industry sectors, such as industrial stocks, technology stocks, bank stocks, and so on; or they can be geographically divided, such as Pacific Rim and European stocks. Bonds can be divided by issuer, such as mortgages, corporate bonds, and Treasury bonds. A well-diversified portfolio may hold several asset classes, categories, styles, and sectors.

Successful investors study all asset classes and their various components in order to understand the differences among them. They estimate the long-term expectations of risk and return, and they study how the returns on one asset class may move in relation to other classes. Then they weigh the advantages and disadvantages of including each investment in their portfolio.

The tax efficiency may also be a consideration if the investment is going in a taxable account. Investors should be aware of which asset class, styles, and sectors are better placed in a tax-advantaged account such as a retirement account and which ones are suitable for taxable accounts.

Asset allocation is the cornerstone of a prudent investment plan and is the single most important decision that an investor will make in regard to a portfolio. Once the fundamentals of asset allocation are understood and all the various styles and sectors of each asset class have been examined, it is then time to select the best investments to represent those asset classes.